

Question

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P 2-2A Jane Kent is a licensed CPA. During the first month of operations of her business, the following events and transactions occurred.

- May 1 Kent invested \$25,000 cash.
- May 2 Hired a secretary-receptionist at a salary of \$2,000 per month.
- May 3 Purchased \$2,500 of supplies on account from Read Supply Company.
- May 7 Paid office rent of \$900 cash for the month.
- May 11 Completed a tax assignment and billed client \$2,100 for services provided.
- May 12 Received \$3,500 advance on a management consulting engagement.
- May 17 Received cash of \$1,200 for services completed for H. Arnold Co.
- May 31 Paid secretary-receptionist \$2,000 salary for the month.
- May 31 Paid 40% of balance due Read Supply Company.

Jane uses the following chart of accounts: No. 101 Cash, No. 112 Accounts Receivable, No. 126 Supplies, No. 201 Accounts Payable, No. 205 Unearned Revenue, No. 301 Jane Kent, Capital; No. 400 Service Revenue, No. 726 Salaries Expense, and No. 729 Rent Expense.

Instructions

- (a) Journalize the transactions.
- (b) Post to the ledger accounts.
- (c) Prepare a trial balance on May 31, 2010.

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Expert Answer

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Journal entries		Ledger accounts				Trial balance		
						Account name	Debit	Credit
May-01	Cash	25000				Cash	22300	
	Jane Kent, Capital		25000			Supplies	2500	
				25000		Accounts receivable	2100	
May-02	NO ENTRY					Accounts payable		1500
						Jane Kent, Capital		25000
May-03	Supplies	2500				Rent expense	900	
	Accounts payable		2500			Salaries expense	2000	
						Service revenue		3300
May-07	Rent expense	900				Totals	29800	29800
	Cash		900					
May-11	Accounts receivable	2100						
	Service revenue		2100					
May-17	Cash	1200						
	Service revenue		1200					
May-31	Salaries expense	2000						
	Cash		2000					
May-31	Accounts payable	1000						
	Cash		1000					

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